The cold-water experiment is so simple, yet its implications shake the core of the liberal world view. It exposes the existence of at least two different selves within us: the experiencing self and the narrating self. The experiencing self is our moment-to-moment consciousness. For the experiencing self, it's obvious that the 'long' part of the cold-water experiment was worse. First you experience water at 14°C for sixty seconds, which is every bit as bad as what you experience in the 'short' part, and then you must endure another thirty seconds of water at 15°C, which is not quite as bad, but still far from pleasant. For the experiencing self, it is impossible that adding a slightly unpleasant experience to a very unpleasant experience will make the entire episode more appealing.

However, the experiencing self remembers nothing. It tells no stories, and is seldom consulted when it comes to big decisions. Retrieving memories, telling stories and making big decisions are all the monopoly of a very different entity inside us: the narrating self. The narrating self is akin to Gazzaniga's left-brain interpreter. It is forever busy spinning yarns about the past and making plans for the future. Like every journalist, poet and politician, the narrating self takes many short cuts. It doesn't narrate everything, and usually weaves the story only from peak moments and end results. The value of the whole experience is determined by averaging peaks with ends. For example, in the short part of the cold-water experiment, the narrating self finds the average between the worst part (the water was very cold) and the last moment (the water was still very cold) and concludes that 'the water was very cold'. The narrating self does the same thing with the long part of the experiment. It finds the average between the worst part (the water was very cold) and the last moment (the water was not so cold) and concludes that 'the water was somewhat warmer'. Crucially, the narrating self is duration-blind, giving no importance to the differing lengths of the two parts. So when it has a choice between the two, it prefers to repeat the long part, the one in which 'the water was somewhat warmer'.

Every time the narrating self evaluates our experiences, it discounts their duration, and adopts the 'peak-end rule' – it remembers only the peak moment and the end moment, and